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Fuyao Glass Industry Group | Asia Pacific

2Q26 Preview: Weak Revenue but Resilient GPM

Key Takeaways

- We estimate flat revenue growth in 2Q26. Despite weak auto production, we believe Fuyao continued to deliver ASP growth, thanks to mix upgrades.
- We see upside potential to 2Q GPM, as we expect Fuyao to have managed GPM better than peers and to deliver a flat YoY / up QoQ GPM.
- FX losses likely remained a headwind in 2Q, as the RMB continued to appreciate against the USD, although these losses represent a non-cash cost item.
- We expect the fire at Fuyao's Ohio plant in late March to have negatively affected its 2Q US operating profit, although insurance coverage should partially offset this impact.

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Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating	Equal-weight			
Industry View	In-Line			
Price target	HK\$53.50			
Up/downside to price target (%)	(1)			
Shr price, close (Jul 6, 2026)	HK\$54.30			
52-Week Range	HK\$86.00-47.70			
Sh out, dil, curr (mn)	607			
Mkt cap, curr (mn)	Rmb136,268.4			
EV, curr (mn)	Rmb129,989.7			
Avg daily trading value (mn)	HK\$163			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.78	4.53	5.23
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	3.66	3.96	4.65	5.30
Revenue, net (Rmb mn)	45,787.4	51,621.9	59,194.8	66,985.4
EBITDA (Rmb mn)	13,164.4	14,547.1	17,136.9	19,394.8
ModelWare net inc (Rmb mn)	9,312.3	9,871.2	11,821.6	13,653.7
P/E	16.9	12.4	10.4	9.0
P/BV	4.2	3.0	2.6	2.4
RNOA (%)	25.3	26.9	29.4	31.4
ROE (%)	26.1	26.3	28.4	29.4
EV/EBITDA	12.2	8.9	7.4	6.4
Div yld (%)	3.5	4.7	5.7	6.5
FCF yld ratio (%)**	5.1	5.4	7.4	9.0
Leverage (EOP) (%)	(21.2)	(21.1)	(23.4)	(26.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Fuyao Glass Industry Group 3606.HK

2Q26 core operating profit from auto glass	— In-line	— Largely unchanged
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- (-) Auto glass volume dragged by weak auto production.
- (+) Auto glass ASP continued to grow.
- (+) Gross margin remained resilient.
- (-) US operating profit impacted by the fire at Fuyao's Ohio plant.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Fuyao Glass Industry Group (3606.HK)

Base case, with HK\$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Fuyao Glass Industry Group (3606.HK) – As of 07/04/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 7/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45; 4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb24.90
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.86
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.03
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.18
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.31
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.25
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb16.25
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb11.37
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb25.50
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.26
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.18
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb29.34
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb69.50
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb26.70
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb102.26
China MeiDong Auto Holdings Ltd (1268.HK)	E (01/08/2024)	HK\$0.53
China Yongda Automobiles Services (3669.HK)	E (08/13/2024)	HK\$0.76
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb25.60
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb53.78
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$54.30
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb84.57
Keboda (603786.SS)	O (01/17/2024)	Rmb44.11
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$29.62
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.46
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$4.06
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb22.77

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb60.57
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb12.86
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb83.75
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.20
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb46.15
Zhongsheng Group Holdings (0881.HK)	O (10/12/2021)	HK\$5.05
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.74
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb87.54
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$83.80
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.78
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.64
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.77
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.87
Hesai Group (HSAI.O)	O (07/28/2025)	US\$17.47
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.49
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.02
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$46.26
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$38.68
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.02
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.63
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$52.85
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.56

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.